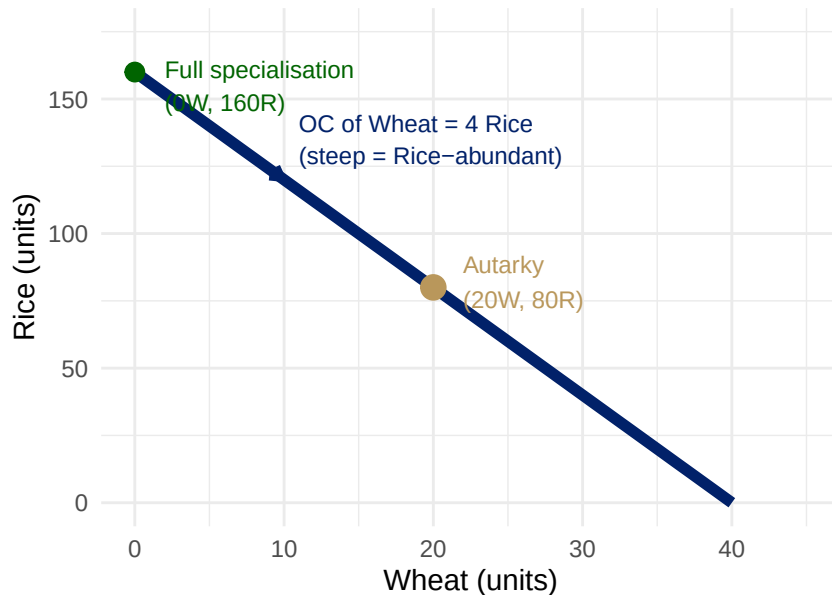


Linear PPFs Under Absolute Advantage (Constant Opportunity Costs)

Slope of PPF = opportunity cost. India: steep $\rightarrow$ Rice-abundant. USA: flat $\rightarrow$ Wheat-efficient. Each exports its absolute advantage

India

Absolute advantage in Rice (4 units/worker)



USA

Absolute advantage in Wheat (3 units/worker)

